performance of the underlying stocks in local markets. There can be big differences in returns depending on the movement of the dollar in relation to the local currency.

Returns in U.S. dollars also vary considerable across geographical regions. Table 4-1 is a sampling of large-cap equity returns in U.S. dollars from the three global areas: the United States, Europe, and the Pacific Rim. The shaded cell represents the geographical region that had the highest-returning index for that year. The region of the world with the highest return varies over time. There is no pattern recognition or formula that can be used to predict the region that will outperform next.

TABLE 4-1
U.S., European, and Pacific Rim Stocks